

STATE OF OKLAHOMA

1st Session of the 60th Legislature (2025)

HOUSE BILL 1580

By: Lawson

AS INTRODUCED

An Act relating to revenue and taxation; providing income tax credits for builders who construct eligible energy efficient residential properties; defining terms; providing how often credits may be claimed; providing for carry over; providing for transferability of tax credits; providing for codification; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 2357.701 of Title 68, unless there is created a duplication in numbering, reads as follows:

A. As used in this section:

1. "Eligible energy efficient residential property" means a newly constructed residential property that is constructed in Oklahoma and is completed on or after January 1, 2026; and

2. "Taxpayer" means a builder who constructed the eligible energy efficient residential property, or if one or more taxpayer qualifies as the builder, the primary contractor.

1 B. For taxable years beginning on or after January 1, 2026,
2 there shall be allowed as a credit against the tax imposed pursuant
3 to Section 2355 of Title 68 of the Oklahoma Statutes in the amount
4 of:

5 1. Two Thousand Dollars (\$2,000.00) for any eligible energy
6 efficient residential property constructed and certified as meeting
7 the United States Environmental Protection Agency's Energy Star
8 Homes program; and

9 2. Four Thousand Dollars (\$4,000.00) for any eligible energy
10 efficient residential property constructed and certified as meeting
11 the United States Department of Energy's Zero Energy Ready Homes
12 program.

13 C. The credits provided for in subsection B of this section may
14 each only be claimed once by the taxpayer during the tax year when
15 the property was completed.

16 D. If the credits provided for in subsection B of this section
17 exceed the amount of income taxes due, or if the taxpayer does not
18 have Oklahoma income tax liability on a particular tax year, the
19 amount of the each tax credit allowed, but not used in any tax year
20 may be carried over as a credit against subsequent tax liability for
21 a period not exceeding four (4) years following the completion of
22 the property.

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1 E. The earned credits provided for in subsection B of this
2 section, to the extent not previously utilized, shall be permitted
3 to be freely transferrable to subsequent transferees.

4 SECTION 2. This act shall become effective January 1, 2026.

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